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OUTPERFORM

PRICE* USD424.6 ■ TARGET PRICE **USD556** (UPSIDE 31%)

FLASH NOTE

Microsoft and OpenAI adjusting partnership (again) may signal AGI's arrival

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Stefan Slowinski BNP Paribas London Branch (+44) 203 430 8549 stefan.slowinski@uk.bnpparibas.com

What happened?

Today, Microsoft and OpenAI announced a restructuring of their partnership. While Microsoft remains the primary cloud provider for OpenAI and any OpenAI products will 'ship first on Azure,' the amended partnership effectively ends Azure's OpenAI stateless API exclusivity, allowing OpenAI to now distribute its models across any cloud provider. Microsoft will continue to have OpenAI IP rights through 2032, although now on a non-exclusive basis (suggesting OpenAI can now license its technology to other cloud vendors as well). Regarding the revenue share, Microsoft will continue to receive revenue share payments from OpenAI through 2030, independent of the company's progress towards 'AGI,' but the payments are now subject to an unspecified total cap. In addition to this, Microsoft will no longer pay OpenAI a reciprocal revenue share, likely tied to Azure OpenAI API sales and Bing.

BNPP View:

In our view, the amended partnership between OpenAI and Microsoft could reflect the rapidly evolving frontier model landscape, where the pace of capability improvements (i.e. GPT 5.5 and Anthropic's Mythos model) suggests the industry may be approaching AGI-like thresholds sooner than previously anticipated. Against this backdrop, we believe the revised agreement may have been driven (at least in part) by the desire for both parties to increase strategic flexibility, particularly as Microsoft accelerates its own frontier model development efforts to potentially hedge against its reliance on OpenAI's technology.

For OpenAI, we believe the benefits are relatively straightforward. The removal of Azure's exclusivity for its stateless API enables true multi-cloud distribution, bringing its GTM capabilities more in-line with peers such as Anthropic, which has already partnered with all three major cloud providers. This expanded distribution, alongside the ability to more deeply embed OpenAI technology within third-party cloud ecosystems, should enhance OpenAI's enterprise reach ahead of the company's reported [plans for a Q4 2026 IPO](#).

For Microsoft, our takeaway is more nuanced. On one hand, a more independent and commercially viable OpenAI should ultimately benefit Microsoft given its sizable equity stake (we estimate ~24% post-money following OpenAI's latest funding round). Moreover, the removal of the reciprocal revenue share (i.e. Microsoft paying OpenAI on Azure OpenAI API sales) is also a near-term positive, especially if Microsoft currently recognizes this revenue stream on a net basis (as has been [reported previously](#)).

Under this framework, the elimination of the revenue share could allow Microsoft to effectively recognize its gross OpenAI API sales, implying a potential ~20% uplift to reported Azure OpenAI revenues. While Microsoft does not disclose its Azure OpenAI API sales, if we assume the business is running at ~50-70% of OpenAI's API revenue scale (note, [OpenAI reportedly surpassed Microsoft in API revenues in 2024](#)), Microsoft's Azure OpenAI API revenues could be tracking a ~\$600-900m in FQ3 (based on our estimate of ~\$5-6bn OpenAI ARR entering into CQ2). In turn, eliminating the revenue share could drive an incremental 0.5 – 1pt of Azure growth, by our calculation.

That said, there are also clear trade-offs. The loss of stateless API exclusivity removes a structural advantage for Azure as the sole cloud distribution channel for OpenAI enterprise products (outside of OpenAI Frontier through AWS). Moreover, while the removal of the 'AGI clause' for the OpenAI revenue share is a positive for the durability of this revenue stream through 2030, the introduction of the 'total cap' may also limit Microsoft's participation in any revenue upside should OpenAI materially outperform its current growth trajectory.

Investment case, valuation and risks

Microsoft (Outperform, Target Price USD556)

Investment case

We see Microsoft as positioned to benefit from a leadership position in technologies with strong secular growth tailwinds, including Cloud Computing and Data Analytics (Azure, Synapse, Fabric), Software Development (GitHub, Visual Studio and the Windows Platform), Productivity (Office), Collaboration (Teams), Enterprise automation (Dynamics and Power Platform), Cyber Security, Advertising (Netflix and OpenAI partnerships, and own services like LinkedIn and Bing), and Gaming (Xbox and Activision). Microsoft is also now leveraging Generative AI across its products, which we believe will drive increased usage and ARPU increases. The company's OpenAI partnership will also likely help drive revenue growth acceleration. We also see Microsoft proactively managing its cost structure, despite accelerating depreciation costs, helping maintain margins at a high level. In addition, the company's communication is amongst the best in Big Tech, providing investors with a clearer understanding of investment priorities and shareholder return visibility.

Valuation methodology

We use a 25x NTM P/E multiple (using ex OpenAI gains and losses earnings) to value Microsoft, based on our FY28 EPS estimates, discounted back, and we also add value for Microsoft's stake in OpenAI.

Risks

To the upside:

Faster than expected uptake for Microsoft's Co-pilot would be a positive catalyst for the stock. Microsoft Azure's growth and market share gain could exceed our expectations, driving higher than expected revenue growth. Similarly, any of Dynamics, Office 365, Gaming, Devices, LinkedIn or Search Advertising could exceed our expectations in a given year or over a multi-year period. Greater market confidence around OpenAI, and OpenAI's ability to raise capital and achieve FCF break-even, would also help confidence.

To the downside:

The inability to meet demand, including difficulty accessing GPUs, may negatively impact Azure growth. The dependency on OpenAI for its GPT model also creates a strategic risk, while the increased dependence on Generative AI for growth also creates risk as it is still an unproven technology in the enterprise. Cyclical weakness in core businesses, such as Windows, could last longer than expected, weighing on growth and driving valuation pressure. Increasing investor concern around SaaS business models and headcount growth dependence is also a risk. Regulatory risk from competition concerns over hyperscalers' dominance of cloud workloads could also factor. Lastly the need to continuously innovate in a highly competitive market could weigh on long term profitability.

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Stefan Slowinski BNP Paribas London
Branch

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Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	645	51	166	26
Neutral (Hold)	428	34	101	24
Underperform (Sell)	202	16	42	21

* Please note that the percentages might not add up to 100% because of rounding.

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Price and Ratings Chart

Microsoft

Historical Closing Price & Target Price (closing price as of 24/04/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time)	Rating (1)	Target Price	Closing Price	Key Changes	Person(s) Involved
10 Apr. 2026 14:14	+	USD556.00	USD370.87	TP down	S. Slowinski, D. Wang, K. Patton
26 Jan. 2026 21:43	+	USD659.00	USD470.28	TP up	S. Slowinski, D. Wang, K. Patton
3 Nov. 2025 05:56	+	USD632.00	USD517.03	TP up	S. Slowinski, D. Wang, K. Patton
1 Aug. 2025 11:51	+	USD630.00	USD524.11	TP up	S. Slowinski, D. Wang, K. Patton
28 Jul. 2025 05:41	+	USD625.00	USD512.50	TP up	S. Slowinski, D. Wang, K. Patton
26 Jun. 2025 21:19	+	USD606.00	USD497.45	TP up	S. Slowinski, D. Wang, K. Patton
2 May 2025 06:12	+	USD500.00	USD435.28	TP up	S. Slowinski, D. Wang, K. Patton
17 Apr. 2025 05:55	+	USD483.00	USD367.78	TP down	S. Slowinski, D. Wang, K. Patton
31 Jul. 2024 11:50	+	USD500.00	USD418.35	TP down	S. Slowinski, K. Patton
22 Jul. 2024 06:23	+	USD525.00	USD442.94	TP up	S. Slowinski, K. Patton
2 May 2024 05:59	+	USD495.00	USD397.84	TP up	S. Slowinski, K. Patton, B. Castillo-Bernaus
31 Jan. 2024 14:22	+	USD485.00	USD397.58	TP up	S. Slowinski, L. Lu, K. Patton
18 Jan. 2024 05:11	+	USD471.00	USD389.47	Rating up, TP up	S. Slowinski, B. Castillo-Bernaus, L. Lu, K. Patton
27 Oct. 2023 17:21	=	USD350.00	USD329.81	TP up	S. Slowinski, L. Lu, K. Patton
14 Aug. 2023 06:04	=	USD325.00	USD324.04	TP down	S. Slowinski, L. Lu, K. Patton
26 Jul. 2023 08:06	=	USD361.00	USD337.77	TP down	S. Slowinski, L. Lu, K. Patton
19 Jul. 2023 06:04	=	USD365.00	USD355.08	TP up	S. Slowinski, L. Lu, K. Patton
24 Apr. 2023 11:09	=	USD300.00	USD285.76	Rating down, TP down	S. Slowinski, B. Castillo-Bernaus

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

Note:

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